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**SUPERIOR COURT OF CALIFORNIA
COUNTY OF SANTA CLARA**

ARCHON DESIGN SOLUTIONS, INC.,

Plaintiff,

v.

GLOBAL SEMICONDUCTOR ALLIANCE, J.
SHELTON ASSOCIATES, INC., and JODI
SHELTON

Defendants.

Case No. 23CV423808

**ORDER DENYING MOTION TO RECONSIDER
AND TO AMEND; GRANTING MOTION TO QUASH**

GLOBAL SEMICONDUCTOR ALLIANCE,

Cross-Complainant,

v.

ARCHON DESIGN SOLUTIONS, INC.,
ATHANASSIOS "TOM" KATSIIOULAS, and DOES
1-20.

Cross-Defendants.

1 Plaintiffs' motion reconsideration and for leave to file a third amended complaint and
2 Defendants' motion to quash third party subpoenas came on for hearing before the Court on April
3 3, 2025. Pursuant to California Rule of Court 3.1308, the Court issued its tentative ruling on April
4 2, 2025.

5 **I. Plaintiff's Motion for Reconsideration or, in the Alternative, for Leave to File a**
6 **Third Amended Complaint**

7 Motions for reconsideration are generally governed by Code of Civil Procedure section 1008,
8 which represents the Legislature's attempt to regulate what the Supreme Court has referred to as
9 "repetitive motions." (*Standard Microsystems Corp. v. Winbond Electronics Corp.* (2009) 179
10 Cal.App.4th 868, 885.) The legislative intent was to restrict motions for reconsideration to
11 circumstances where a party offers the court some fact or circumstance not previously considered,
12 and some valid reason for not offering it earlier. (*Gilberd v. AC Transit* (1995) 32 Cal.App.4th 1494,
13 1500; see *Baldwin v. Home Sav. Of America* (1997) 59 Cal.App.4th 1192, 1198.) The burden under
14 Section 1008 "is comparable to that of a party seeking a new trial on the ground of newly discovered
15 evidence: the information must be such that the moving party could not, with reasonable diligence,
16 have discovered or produced it at the trial." (*New York Times Co. v. Superior Court* (2005) 135
17 Cal.App.4th 206, 212-213.)

18 Plaintiff's motion for reconsideration fails to meet this standard. There is no issue of law or
19 fact raised that Plaintiff could not, with reasonable diligence, have discovered or produced at the
20 time of the opposition to Defendants' demurrer to the second amended complaint or during
21 argument. Plaintiff's motion is simply a rehash of the arguments presented in that opposition and
22 during the hearing.

23 Parties may only move for reconsideration as authorized by Code of Civil Procedure section
24 1008. However, Section 1008 "does not limit the court's ability, on its own motion, to reconsider its
25 prior interim orders so it may correct its own errors" (*Le Francois v. Goel* (2005) 35 Cal.4th 1094,
26 1107) and the court has inherent power to correct its own errors when they are called to the court's
27 attention by way of an improperly filed motion (*Marriage v. Barthold* (2008) 158 Cal.App.4th 1301,
28 1308). There is no time limitation on this inherent power; the court may change interim orders
based on a change of law at any time before final judgment is entered. (*Blake v. Ecker* (2001) 93

1 Cal.App.4th 728, 739.) In considering whether to reconsider a prior order, the court should examine
2 the extent of preparation in the case, the proximity of a trial date, and “the materiality of the change
3 in the law and the potential for prejudice to any of the parties.” (*Phillips v. Sprint PCS* (2012) 209
4 Cal. App. 4th 758, 769.)

5 Plaintiff repeatedly relies on earlier Court orders and tentative rulings to argue the Court
6 “changed the pleading requirements” Plaintiff had to meet for the second amended complaint. First,
7 a “tentative ruling is, by definition, not final”. (*People v. Hatt* (2018) 20 Cal. App. 5th 321, 324 [where
8 court continued hearing and requested additional briefing order was tentative and not appealable];
9 *In re Anthony H.* (1982) 138 Cal.App.3d 159, 165–166 [where court issues ruling but invites briefing,
10 states it will reserve final decision, and then issues subsequent order, original ruling is deemed
11 tentative].) Next, pleading requirements are set forth in statutes and case law, they are not altered
12 by this Court’s orders. Finally, while Plaintiff has been misconstruing the Court’s October 23, 2024
13 order, having further studied it in connection with this ill-conceived motion for reconsideration, the
14 Court has reconsidered and decided to clarify that order on the Court’s own motion.

15 **A. Sixth Causes of Action- Intentional Interference with Prospective Economic**
16 **Advantage**

17 “Intentional interference with prospective economic advantage has five elements: (1) the
18 existence, between the plaintiff and some third party, of an economic relationship that contains the
19 probability of future economic benefit to the plaintiff, (2) the defendant’s knowledge of the
20 relationship, (3) intentionally wrongful acts designed to disrupt the relationship, (4) actual
21 disruption of the relationship, and (5) economic harm proximately caused by the defendant’s
22 action.” (*Roy Allan Slurry Seal, Inc. v. American Asphalt South, Inc.* (2017) 2 Cal.5th 505, 512.) To
23 state this claim, a plaintiff must allege “the defendant’s conduct was wrongful by some measure
24 beyond the fact of the interference itself.” (*Korea Supply Co. v. Lockheed Martin Corp.* (2003) 29
25 Cal.4th 1134, 1153 (*Korea Supply*)). “An act is independently wrongful if it is unlawful, that is, if it
26 is proscribed by some constitutional, statutory, regulatory, common law, or other determinable
27 legal standard.” (*Ibid.*)

28 The Court’s October 23, 2024 order sustaining Defendants’ demurrer to this claim with 30

1 days leave to amend states:

2 Plaintiff alleges TSG's and Shelton's conduct to defame and
3 prevent Plaintiff from any future relations with the individual GSA
4 members and to control the TIES board and the TIES IP for TSG's
5 benefit, interfered with Plaintiff's ability to pursue a business outside
6 of GSA. (FAC, ¶ 67.)

7 Defendants argue Plaintiff fails to specifically identify any of
8 the individual GSA members, however, they fail to provide any
9 authority that Plaintiff is required to do so. (See *People v. Dougherty*
10 (1982) 138 Cal.App.3d 278, 282 [points asserted without supporting
11 authority are waived].) Moreover, Plaintiff alleges some of the core
12 TIES members signed non-disclosure agreements with it to help
13 develop its TIES plan toward funded pilot projects and supported
14 Katsioulas in the work for IoTAB as originally planned. (FAC, ¶ 25.)

15 Plaintiff alleges Defendants engaged in wrongful conduct by
16 attempting to seize control of TIES IP without paying Plaintiff,
17 removing Katsioulas' access from the GSA database, removing
18 Plaintiff as a member of GSA, and disparaging Katsioulas to disrupt
19 Plaintiff's business relationships outside of GSA. (See FAC, ¶¶ 23-24,
20 30, 37(c).) Plaintiff further alleges Katsioulas was informed by one
21 GSA member (Synopsys) that it would pause the signing of an NDA
22 that was in progress, "until a proper resolution has been reached with
23 the GSA." (See FAC, ¶ 26.) Defendant argues that the alleged wrongful
24 acts cannot support this claim because none of them took place after
25 Plaintiff entered the NDAs. This is the case for the conduct to seize
26 control of TIES. But it appears the Katsioulas' access for the database
27 and the allegedly disparaging comments were made after.
28 Nonetheless, Plaintiff fails to allege how those acts constitute

1 independent wrongful conduct. (See *Korea Supply, supra*, 29 Cal.4th
2 at p. 1153.) As a result, Plaintiff fails to allege sufficient facts to state
3 this claim. Thus, Defendants' demurrer to the sixth cause of action is
4 SUSTAINED with 30 days leave to amend from the service date of the
5 final order.

6 Plaintiff has repeatedly read this section of the Court's order to mean that reference to the
7 NDAs was sufficient and the only problem with the way this claim was plead was that it did not
8 allege independently wrongful conduct. The Court disagrees with this interpretation. However, to
9 be clear: reference to NDAs GSA members signed with Archon in the furtherance of developing TIES
10 is not sufficient to state this claim. The law requires Plaintiff to allege "the existence, between the
11 plaintiff and some third party, of an *"economic relationship* that contains the *probability* of future
12 economic benefit to the *plaintiff*". (*Roy Allan Slurry Seal, Inc. v. American Asphalt South, Inc.* (2017)
13 2 Cal.5th 505, 512 (emphasis added).) All Plaintiff alleges is that a few GSA members did not want
14 to sign NDAs to continue TIES development until the conflict between Archon and GSA resolved.
15 The NDAs were entered for GSA's, not Archon's benefit. And even if Plaintiff were correct that
16 Archon was to benefit from these agreements, any economic benefit was purely speculative, not
17 probable.

18 Plaintiff also fails to allege an independent wrong—whether the Court examines the
19 incorrectly cited statutes or, frankly, the body of the Second Amended Complaint, or the proposed
20 Third Amended Complaint. While Plaintiff's complaints and proposed Third Amended Complaint
21 are extremely lengthy and detailed, what they ultimately allege is that Shelton terminated an at will
22 consulting agreement and failed to pay Plaintiff for excess hours Plaintiff claims a prior GSA
23 employee promised to pay. The allegedly wrongful conduct was terminating Archon's alleged
24 membership and falsely representing that GSA could not afford to pay Archon. Terminating
25 Archon's membership (assuming Archon was a complimentary member for purposes of this
26 argument) does not prevent Archon from contracting with other GSA members. And whether GSA
27 could afford to pay Archon's consulting services is a matter of opinion, not a fact. Plaintiff's other
28 allegations are expressions of understandable frustration with no longer being invited to participate

1 in a project Plaintiff was and is clearly passionate about. But not every disappointment translates
2 into a cause of action.

3 **B. Fifth Cause of Action-Tortious Interference with Contract**

4 The elements of a claim for intentional interference with contractual relations are “(1) a valid
5 contract between plaintiff and a third party, (2) defendant’s knowledge of this contract, (3)
6 defendant’s intentional acts designed to induce a breach or disruption of the contractual
7 relationship, (4) actual breach or disruption of the contractual relationship, and (5) resulting
8 damage.” (*Pacific Gas & Electric Co. v. Bear Stearns & Co.* (1990) 50 Cal.3d 1118, 1126.) “To state a
9 claim for interference with an at-will contract by a third party, the plaintiff must allege that the
10 defendant engaged in an independently wrongful act.” (*Ixchel Pharma, LLC. V. Biogen, Inc.* (2020) 9
11 Cal.5th 1130, 1148 (*Ixchel*).) “An act is independently wrongful if it is unlawful, that is, if it is
12 proscribed by some constitutional, statutory, regulatory, common law, or other determinable legal
13 standard.” (*Ibid.*)

14 The Court refers to its comments above regarding the failure to allege an independently
15 wrongful act.

16 **C. Motion for Leave to File a Third Amended Complaint**

17 “[T]he trial court has wide discretion in allowing the amendment of any pleading”. (*Bedolla*
18 *v. Logan & Frazer* (1975) 52 Cal. App. 3d 118, 135-136.) [It] is a rare case in which ‘a court will be
19 justified in refusing a party leave to amend his pleadings so that he may properly present his case.’
20 (*Guidery v. Green*, 95 Cal. 630, 633; *Marr v. Rhodes*, 131 Cal. 267, 270. If the motion to amend is
21 timely made and the granting of the motion will not prejudice the opposing party, it is error to refuse
22 permission to amend and where the refusal also results in a party being deprived of the right to
23 assert a meritorious cause of action or a meritorious defense, it is not only error but an abuse of
24 discretion. (*Nelson v. Superior Court*, 97 Cal.App.2d 78; *Estate of Herbst*, 26 Cal.App.2d
25 249; *Norton v. Bassett*, 158 Cal. 425, 427.)” (*Morgan v. Superior Court of Los Angeles County* (1959)
26 172 Cal. App. 2d 527, 530-531 (error for trial court to fail to give leave to amend).
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28

1 The Court finds this to be the unusual case where it is appropriate to deny leave to amend. It
2 is apparent Plaintiff seeks to maneuver around the Court's sustaining without leave to amend
3 Defendants' demurrer to the fifth and sixth causes of action in the Second Amended Complaint.
4 However, the Court has very carefully studied the proposed Third Amended Complaint, and the
5 additional allegations do not remedy the above-identified issues with respect to the fifth and sixth
6 causes of action, which infirmities spill over into the proposed seventh and eighth causes of action.
7 Moreover, Plaintiff very clearly seeks a path to conduct expansive and invasive discovery into GSA
8 that touches issues far afield from Archon's alleged consulting agreement. Thus, Defendant's
9 concern that it will suffer prejudice if this amendment is permitted only to go through another
10 round of demurrer and expansive third party discovery served on GSA board and other members is
11 real and palpable. Indeed, it appears to the Court that justification for such discovery is at the heart
12 of these proposed amendments.
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16 Accordingly, Plaintiff's motion to amend is DENIED.

17 **II. Defendant's' Motion to Quash or in the Alternative Motion for Protective Order**
18 **Regarding Third Party Subpoena to Dr. Walden C. Rhines**

19 Plaintiff once again fails to articulate "specific facts showing good cause justifying the
20 discovery sought by the demand" to Dr. Rhines. (Code Civ. Pro. §2031.210(b)(1).). It appears
21 Plaintiff seeks this deposition of Dr. Rhines to schmooze about the industry and to address topics
22 the Court already found irrelevant to Plaintiff's breach of contract and related surviving claims.

23 Plaintiff's argument that the Court's discovery order concerned different third parties
24 ignores this part of that order: "[T]he Court finds the extensive financial discovery Plaintiffs seek
25 through both the deposition subpoenas to GSA board members and the above five categories
26 (without deciding whether those categories are even part of Plaintiffs' motion to compel) is not
27 supported by "specific facts showing good cause justifying the discovery sought by the demand."
28 (Code Civ. Pro. §2031.210(b)(1).) As the Court explained during the conference, GSA's financial
health is irrelevant to whether it promised Plaintiffs the \$200/hour for hours worked beyond 40

1 hours per month—if Plaintiffs prove that promise was made, Defendants owed the money then and
2 will owe the money if judgment is entered against them—regardless of their ability to pay.”

3 Dr. Rhines offered to sit for a remote deposition of a short duration to address specific topics.
4 The Court finds Dr. Rhines’ proposal reasonable and adopts it. Accordingly, Defendant’s motion for
5 protective order is GRANTED. Dr. Rhines’ deposition shall be taken remotely, last for no more than
6 two hours of questioning on the record, and be limited to the proposal set forth in his November 24,
7 2024 email attached to the December 9, 2024 Declaration of Gabriel G. Gregg as Exhibit C.

8 **III. Sanctions**

9 Defendants argue Plaintiff should be sanctioned for bringing the motion for reconsideration,
10 sending harassing emails to GSA board members, and forcing Defendants to file an unnecessary
11 motion for protective order.

12 The Court agrees that the motion for reconsideration was not well taken, however, the
13 alternative motion for leave to file a third amended complaint was justified in the Court’s view.
14 Plaintiff sought one last attempt to amend and bring tort claims into the case. The Court was not
15 persuaded to do so but does not find the attempt sanctionable.

16 The emails to the board members are problematic. However, that issue is not properly
17 before the Court. If Defendants seek action from the Court, such action needs to be requested
18 through a properly noticed motion to ensure the Court has all necessary information and evidence
19 before it and that Plaintiff has opportunity to respond and be heard.

20 The discovery to Dr. Rhines is another matter. That subpoena clearly ignores the Court’s
21 admonishment just days before the subpoena was served as to the scope of relevant discovery in
22 the case. And Plaintiff plainly failed to adequately meet and confer, even though Dr. Rhines was
23 willing to be deposed on relevant topics. That failure alone is grounds for sanctions.

24 Code of Civil Procedure section 2023.020 states: “the court *shall* impose a monetary sanction
25 ordering that any party or attorney who fails to confer as required pay the reasonable expenses,
26 including attorney’s fees, incurred by anyone as result of that conduct.” (Emphasis added; see also
27 *Moore v. Mercer* (2016) 4 Cal.App.5th 424, 448 (failure to participate in meet and confer process in
28 good faith is independent discovery abuse for which sanctions are authorized by statute); *Ellis v.*

1 *Toshiba Am. Info. Sys., Inc.* (2013) 218 Cal.App.4th 843, 879-880 (substantial monetary sanction
2 appropriate for failure to cooperate in setting protocol for expert inspection as ordered).) This
3 monetary sanction is mandatory regardless of how the court rules on the offending party's motion.
4 (Code Civ. Proc. §2023.020.)

5 However, while Defense counsel's billing rates are commensurate with Silicon Valley rates
6 for this case type, the Court finds the number of hours spent on the simple motion to quash
7 excessive, and the Court does not award speculative fees based on possible future work.
8 Accordingly, the Court orders Plaintiff and counsel, jointly and severally, to pay Defendant \$7,000
9 in attorneys' fees and costs as a sanction for forcing the motion for protective order/to quash to be
10 brought. This \$7,000 shall be paid within 30 days of the service date of this formal order.

11 **IT IS SO ORDERED.**

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13 Date: _____

14 Hon. Evette D. Pennypacker
15 Santa Clara Superior Court Judge
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Line 4

**SUPERIOR COURT OF CALIFORNIA
COUNTY OF SANTA CLARA**

CITIBANK, N.A.,

Plaintiffs,

v.

JESUS ANGEL DIAZ SALAZAR,

Defendant.

Case No. 24CV4366415

**ORDER GRANTING MOTION FOR
JUDGMENT ON THE PLEADINGS**

CitiBank, N.A.'s motion for judgment on the pleadings came on for hearing before the Court on April 3, 2025. Pursuant to California Rule of Court 3.1308, the Court issued its tentative ruling on April 2, 2025.

CitiBank, N.A.'s motion for judgment on the pleadings is GRANTED. A notice of motion with this hearing date and time was served on Defendant by U.S. mail on December 17, 2024. Defendant did not oppose the motion. "[T]he failure to file an opposition creates an inference that the motion or demurrer is meritorious." (*Sexton v. Super Ct.* (1997) 58 Cal.App.4th 1403, 1410.) There is also good cause to grant this motion.

Plaintiff filed its complaint on April 23, 2024 seeking \$7,390.58 in unpaid credit card debt. Defendant answered on June 21, 2024 denying all allegations and asserting various affirmative defenses. Plaintiff served requests for admission on Defendant by U.S. mail on July 10, 2024, and, after Defendant failed to respond, obtained an order deeming the matters in those requests